

Employing in Bulgaria

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Bulgarian Labour Code
- **Monthly payroll** — salary payments in EUR (following euro adoption on 1 January 2026), itemised payslips
- **Tax withholding** — flat 10% income tax withheld and remitted to the NRA
- **NSSI & NHIF** — the social security and health insurance contribution stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Bulgaria became the eurozone's 21st member on 1 January 2026 — all contracts, payroll and tax filings now run in EUR at the fixed conversion rate of €1 = BGN 1.95583.

Item	Detail	Legal Basis
Euro adoption	Bulgaria joined the eurozone 1 January 2026; fixed rate €1 = BGN 1.95583	EU accession framework
Probation period	Maximum 6 months, agreed in writing	Labour Code
NSSI registration	Required within 3 days of contract conclusion, before the employee starts	Labour Code / Social Security Code

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	€620.20/month (~€3.74/hour)	+14.4% from 2025; set by formula (50% of average gross wage)
Employer social security (NSSI)	~14.12% of gross salary	Pension, unemployment, sickness/maternity, work accident funds combined
Employer health insurance (NHIF)	4.8% of gross salary	Split equally with employee (8% total)
Total employer contribution	~18.92% of gross salary	Capped at a maximum insurable income of ~€2,352/month

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 20 working days/year	Employer	Labour Code minimum; many CBAs offer more
Sick Leave	Employer pays first 3 days, NSSI thereafter	Employer (3 days) + NSSI	Requires a medical certificate
Maternity Leave	410 days (45 days mandatory before birth)	NSSI (90% of average income)	One of the most generous maternity entitlements in the EU

★ HERO TIP

Bulgaria's social security and health insurance contributions are capped at a relatively low maximum insurable income (~€2,352/month for 2026) — for senior specialists earning well above this level, the marginal employer cost of a higher salary is almost entirely the flat 10% income tax, since contributions stop accruing at the cap. This makes Bulgaria notably cost-efficient for higher-salaried roles compared to uncapped systems elsewhere in Europe.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer NSSI + NHIF (illustrative, ~18.92%, may be capped depending on FX)	\$567.60	18.92%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,167.60	~138.9%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Contributions are capped at a maximum insurable income of approximately €2,352/month — a USD \$3,000 salary sits close to or above this cap depending on the EUR/USD rate at the time. Employee deductions (withheld separately) include 13.78% in social/health contributions and the flat 10% income tax.

Income Tax

Bulgaria applies the EU's lowest personal income tax rate — a flat 10% on all employment income, with no progressive brackets and few available deductions.

Termination & Separation

Statutory notice is a minimum of 30 days for indefinite contracts (shorter for fixed-term), and compensation in lieu of notice is common practice. Severance for redundancy is generally 1 month's gross salary, though CBAs or individual contracts may provide more.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
3 March	Liberation Day	National
~10-13 April	Orthodox Easter (Good Friday-Easter Monday)	National (Orthodox calendar)
1 May	Labour Day	National
6 May	St. George's Day / Army Day	National
24 May	Bulgarian Education and Culture Day	National
6 September	Unification Day	National
22 September	Independence Day	National
24-26 December	Christmas Eve, Christmas Day, 2nd Day of Christmas	National

Bulgaria follows the Eastern Orthodox calendar for Easter, which frequently differs from the Western (Catholic/Protestant) date. In 2026, Orthodox Easter falls 10-13 April, creating a 4-day closure.

Ready to hire in Bulgaria?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Bulgaria employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).